

EQUITY BANK GROUP

AUDITED FINANCIAL STATEMENTS

AND OTHER DISCLOSURES AS AT 31ST DECEMBER 2011



BALANCE SHEET

A. ASSETS

1. Cash (both Local & foreign)	8,500,359	7,166,639	3,635,336	4,507,264
2. Balances due from central Bank of Kenya	4,802,374	8,565,694	4,802,374	8,565,694
3. Kenya Government securities	8,633,028	22,616,694	8,633,028	22,604,042
4. Foreign Currency Treasury Bills and Bonds	17,268	26,301	-	-
5. Deposits and balances due from banking institutions	2,387,849	1,734,925	2,029,967	1,734,925
6. Deposits and balances due from banking institutions abroad	2,812,514	17,814,951	1,279,027	4,322,572
7. Government and other securities held for dealing purposes	22,577,650	7,594,887	22,577,650	7,594,887
8. Tax recoverable	85,638	53,484	-	-
9. Loans and advances to customers (net)	78,301,921	113,823,792	72,902,021	106,486,367
10. Investment securities	759,643	264,588	700,000	-
11. Balances due from group companies	106,499	123,080	1,238,580	1,318,595
12. Investments in associates	1,259,696	1,365,892	1,259,696	1,259,696
13. Investments in subsidiary companies	-	-	5,084,191	6,672,186
14. Investments in joint ventures	-	-	-	-
15. Investment properties	8,494	8,494	8,494	8,494
16. Property and equipment	6,970,525	7,593,617	5,693,536	6,044,159
17. Prepaid lease rentals	29,260	28,661	4,019	4,184
18. Intangible assets	1,927,409	2,237,346	754,491	1,075,697
19. Deferred tax asset	61,061	243,546	61,061	238,571
20. Retirement benefit asset	-	-	-	-
21. Other assets	3,776,926	5,031,306	3,226,526	4,473,663

B. TOTAL ASSETS

B. LIABILITIES

23. Balances due to Central Bank of Kenya	-	-	-	-
24. Customer deposits	104,430,586	140,446,501	95,203,689	121,774,061
25. Deposits and balances due to Local banking institutions	-	3,718,360	-	3,718,360
26. Deposits and balances due to Foreign banking institutions	499,840	-	-	-
27. Other money market deposits	-	-	-	-
28. Borrowed funds	7,463,654	14,792,277	7,463,654	13,768,876
29. Balances due to group companies	-	-	-	-
30. Tax payable	701,365	487,452	657,341	417,108
31. Dividends payable.	9,523	17,265	9,523	17,265
32. Deferred tax liability	4,754	536	-	-
33. Retirement benefit liability	-	-	-	-
34. Other liabilities	2,704,478	2,545,957	2,248,244	2,167,906

35. TOTAL LIABILITIES

C. SHAREHOLDERS' FUNDS

36. Paid up/Assigned capital	1,851,388	1,851,388	1,851,388	1,851,388
37. Share premium / (discount)	12,161,021	12,161,021	12,161,021	12,161,021
38. Revaluation reserve	(1,388,013)	(1,712,012)	(990,285)	(1,062,134)
39. Retained earnings / Accumulated losses	11,203,578	17,715,214	11,940,868	17,974,523
40. Statutory Loan Loss reserve	413,717	567,159	382,332	419,845
41. Proposed dividends	2,962,222	3,702,777	2,962,222	3,702,777
42. Capital grants	-	-	-	-

43. TOTAL SHAREHOLDERS' FUNDS

44. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS

PROFIT AND LOSS ACCOUNT

INTEREST INCOME

1.1 Loans and advances	11,361,393	16,580,710	10,497,539	15,266,771
1.2 Government securities.	2,302,919	2,669,330	2,292,340	2,664,817
1.3 Deposits and placements with banking institutions	110,841	84,202	95,417	444,422
1.4 Other	-	5,329	-	-

1.5 Total Interest income

INTEREST EXPENSES

2.1 Customer deposits	1,448,427	2,131,451	1,270,299	1,849,599
2.2 Deposits and placements from banking institutions	12,698	179,068	6,608	159,867
2.3 Other Interest expense	600,684	806,015	551,863	806,014

2.4 Total interest Expenses

NET INTEREST INCOME

OTHER OPERATING INCOME

4.1 Fees and commissions income on loans & advances	2,537,581	3,353,706	2,422,234	3,140,853
4.2 Other Fees and commissions income	4,433,164	5,923,170	4,078,493	4,913,791
4.3 Foreign exchange trading income	878,079	1,969,830	390,053	821,075
4.4 Dividend Income	2,267	23,269	-	188,196
4.5 Other income	2,587,535	1,177,033	2,246,361	842,557

4.6 Total Non-Interest Income

TOTAL OPERATING INCOME

OPERATING EXPENSES

6.1 Loan Loss Provision	1,904,578	1,629,648	1,558,311	1,533,233
6.2 Staff costs	5,236,735	5,988,598	4,433,990	5,164,421
6.3 Directors' emoluments	28,881	26,085	21,150	20,986
6.4 Rental charges	608,507	927,935	547,051	687,361
6.5 Depreciation on property and equipment	1,343,539	1,581,625	1,132,863	1,338,748
6.6 Ammortisation charges	145,434	163,723	125,476	144,918
6.7 Other operating expenses	3,934,005	5,673,288	3,063,008	4,473,821

6.8 Total Operating Expenses

Profit/(loss) before tax and exceptional items

Exceptional items-share of profit of associate

Profit/(loss) after exceptional items

Current tax

Deferred tax

Profit / (loss) after tax and exceptional items

Earnings per share-basic and diluted

Dividend per share (Kshs)

OTHER DISCLOSURES

1) NON PERFORMING LOANS AND ADVANCES

a) Gross non performing loans and advances	4,374,713	3,250,727	3,470,580	3,091,732
b) Less Interest in suspense	471,145	561,970	471,145	543,124
c) Total Non-Performing loans and advances (a-b)	3,903,568	2,688,757	2,999,435	2,548,608
d) less Loan loss provision	915,279	1,118,456	891,236	1,086,410
e) Net non - performing loans (c-d)	2,988,289	1,570,301	2,108,199	1,462,198
f) Discounted value of securities	2,988,289	1,570,301	2,108,199	1,294,321
g) Net NPLs Exposure (e-f)	-	-	-	167,877

2) INSIDER LOANS AND ADVANCES

a) Directors, shareholders and associates	2,650,734	3,279,331	2,650,734	3,279,331
b) Employees	1,840,790	2,895,314	1,741,775	2,809,179
c) Total insider Loans and Advances and other Facilities	4,491,524	6,174,645	4,392,509	6,088,510

3) OFF BALANCE SHEET ITEMS

a) Letter of Credit, guarantees, acceptances	4,256,029	5,415,359	4,116,711	4,900,656
b) Other contingent Liabilities	271,280	2,337,672	247,998	2,335,560
c) Total contingent Liabilities	4,527,309	7,753,031	4,364,709	7,236,216

4) CAPITAL STRENGTH

a) Core Capital

b) Minimum statutory capital

c) Excess / (deficiency)

d) Supplementary capital

e) Total Capital (a+d)

f) Total Risk Weighted Assets

Ratios

g) Core Capital / Total Deposit Liabilities

h) Minimum statutory ratio

i) Excess / (deficiency) (g-h)

j) Core Capital / Total Risk Weighted Assets

k) Minimum statutory Ratio

l) Excess / (deficiency) (j-k)

m) Total Capital / Total Risk Weighted assets

n) Minimum statutory Ratio

o) Excess / (deficiency) (m-n)

5) LIQUIDITY

a) Liquidity Ratio

b) Minimum statutory Ratio

c) Excess / (deficiency) (a-b)

The above financial statements and disclosures are extracts of the financial records of the Group

Signed: **DR. JAMES MWANGI, CBS**
CHIEF EXECUTIVE OFFICER/MANAGING DIRECTOR

Signed: **MR. PETER K. MUNGA, CBS**
CHAIRMAN

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